

The purpose of this article is not, however, to discuss either hedging in commodities or the use of privileges in trading, although both might well deserve extended treatment. We intend to discuss a similar class of market operations, which is little understood or appreciated even by professionals, and which nevertheless affords the opportunity of excellent profits with very moderate risk.

HEDGING BETWEEN BONDS AND STOCKS

What we have in mind is the simultaneous purchase of one security and sale of another, because the first is relatively cheaper than the second. Where the security bought sells lower than the one sold, there must be good reason for believing that the price of the two will come closer together,—and conversely for the opposite circumstance.

Without further tarrying on the general theory involved, let us hasten to a concrete example. On November 2, last, let us say, we purchase \$10,000 of Lackawanna Steel convertible 5 per cent bonds, due 1950, and at the same time sell short 100 shares of Lackawanna Steel stock at 100. Should Lackawanna continue its headlong advance, we might be forced to convert our bonds into stock, in order to make delivery of the shares we sold. In this case our operation would have proved unsuccessful—we should have lost \$25 and commissions. But if the stock declines it is evident that the bonds will not suffer as severely, because their investment rating alone assures them of a certain minimum value. In actual fact, at this writing the stock is down to 83, while the bonds hold firm around 94. We could therefore undo our little operation by selling the bonds for \$9,400 and buying back our stock for \$8,300. This would show a net credit of \$1,100, from which expenses and the original difference of \$25 are to be deducted, still leaving a net profit of over \$1,000.